October compared to 7.4 per cent in September, inflation has remained above the central bank's target upper limit of 6 per cent for 10 successive months this year. At 7.04 per cent, food inflation is still relatively high and is being driven by higher prices of cereal and milk. Lower stocks of cereals after the extension of the central food security scheme and lower procurement due to the vagaries of weather, in addition to geopolitical compulsions, have pushed up domestic cereal prices in the past 2-3 months, with cereal inflation hitting 12.08 per cent in October. The inflation is higher in rural India, as food prices are higher here and also have a bigger share in the basket.

The other big challenge for the ruling party will come from the jobs front. The country's unemployment rate increased to 8 per cent in November, the highest in three months, compared



AP

MODI GOVT'S BIG ECONOMIC CHALLENGES

Despite a rebound from the pandemic, the Indian economy faces pressure from geopolitical uncertainties, high inflation and unemployment rates, lagging private investment and slowing exports

BUMPY RIDE

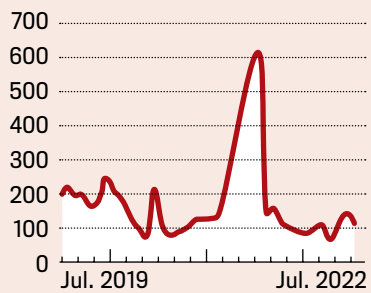
Growth may hover around 6% in the coming years, lower than projected earlier



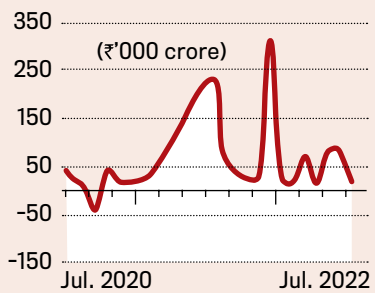
GOING SOUTH

Industrial investment has suffered as corporates are sceptical about a demand revival amid global uncertainties

NUMBER OF PROPOSALS



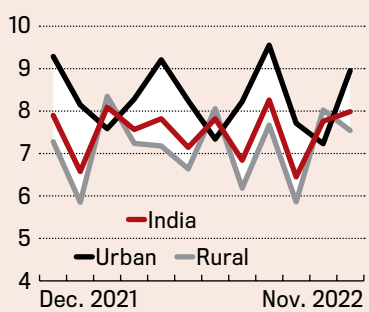
PROPOSED INVESTMENT



THE LONG WAIT

The joblessness rate has risen, highlighting the urgent need to revive Indian manufacturing

UNEMPLOYMENT RATE (%)



HOT PLATE

Prices of essential goods are projected to remain high, hurting the common man

INFLATION RATE IN OCT. 2022 (%)

